

Westpac Wailis - PNG Quarterly Economic Update

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As well as updating our analysis of the key factors behind Papua New Guinea's economic performance, this report provides key insights into the resource sector, the latest updates on operating and upcoming projects, and an assessment of how the Papua LNG project will benefit PNG's economy.



Read the full report with more analysis, data and charts at:

 [Westpac Wailis February 2026 \(PDF 1MB\)](#)

Papua New Guinea's growth prospects for 2026 are shaped by two pivotal factors: the recent grey listing by the Financial Action Task Force and the anticipated Papua LNG Final Investment Decision, expected later this year. In our latest projections, PNG's economy is forecast to grow by 4.6% in 2026. Our February Westpac Wailis continues the deep dive into PNG's economy, highlighting key drivers and prospects.

In 2025, PNG recorded strong mining output amid favourable global commodity prices, while cocoa and coffee producers benefited from higher export receipts. Macroeconomic conditions were broadly stable, with no civil unrest, and government finances remained sustainable. With partial data now available, our 2025 growth forecast has been raised to 5.5% from 4.7%, reflecting mining outperformance and steady support from industry and services. The official 2024 estimate of 3.9% was below our projection.

Underlying inflation has eased, but headline inflation remains elevated due to the large weight of betel nut prices in the CPI. Price pressures are uneven, with faster inflation in the Highlands and regional provinces than in Port Moresby and Lae. Elevated gold and copper prices, the restart of the Porgera mine, and strong output at Ok Tedi supported the mining sector. Non-resource sectors also gained momentum through spillovers from resources.

Looking ahead, the grey listing is expected to have a limited impact, as authorities moved quickly with an 18-point action plan. PNG's outlook remains resilient, with agriculture growing by about 1.5%, industry by 4.6%, and services by 5.6% in 2026. Inflation is in the 3–4% range, fiscal consolidation is strong, with a deficit of 1.1% of GDP, reserves cover over seven months of imports, and foreign exchange conditions have improved.

Political stability under PNG Reset@50 has supported confidence. Papua LNG, valued at US\$13–14bn, is on track for a 2026 decision, while Wafi-Golpu has cleared key hurdles. Papua LNG could lift growth to 6–8% during peak years, making it the most consequential driver of growth over the next decade, despite ongoing structural risks and external headwinds.

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